Game Theory in Lenskart

Introduction

Lenskart is among the top eyewear sellers in India. The company sells eyeglasses, sunglasses, contact lenses, and related eye-care products through an omnichannel (online as well as offline) business model. Customers can purchase products through physical stores, the company's website, or its mobile application.

It was founded in 2010 by Peyush Bansal, Amit Chaudhary, and Sumeet Kapahi, they started with a simple mission to make quality eyewear affordable and accessible for everyone in India. Earlier buying glasses requires visiting local optical shops with limited product choices and relatively high prices. Lenskart tried changing this experience with online shopping, transparent pricing, home eye testing in selected locations and advanced technologies like Virtual Try-On.

Over the years, Lenskart has grown from an online eyewear startup into a fully integrated retail company with its own manufacturing, distribution network, digital platform and thousands of stores. This integrated business model enables the company to control quality, reduce cost and respond quickly to changing customer demand.

Business Model

Lenskart follows an omnichannel business model, integrating online and offline channels to provide customers a seamless shopping experience. Customers can browse products on the website or mobile application, try on frames virtually with the help of AI-powered Virtual Try-On and find out how the glasses look before making a purchase, book eye checks, visit retail stores nearby to seek professional advice, and purchase prescription glasses, sunglasses and contact lenses.

Lenskart brings together manufacturing, supply chain, technology and customer service into one ecosystem, instead of just relying on retail stores. The integration helps the company reduce delivery time, improve the quality of the product and offer competitive prices.

Vision

Lenskart aims to make high-quality eyewear affordable and easily available to everyone. The company believes that technology can simplify the customer journey while improving eye-care services.

Its strategy focuses on three major goals that are improving customer experience, expanding market presence and using technology to create competitive advantage. These goals influence every strategic decision made by the company.

Market Position

Lenskart has become one of the fastest-growing eyewear companies in Asia. Through continuous expansion and investment in technology it has built a strong presence in India while expanding into international markets.

The company competes with both organized and unorganized players.

Major Competitors

Competitor	Competitive Strength
Titan Eyeplus	Premium retail network
Vision Express	Eye care experts
Specsmakers	Products at Low Prices
Local Optical Stores	Customized service
Amazon & Flipkart	Online convenience

These companies compete with each other on price, technology, customer service, store location, product quality, and brand image, so the competition is fierce.

Why Lenskart is an Ideal Company for Game Theory

Game Theory concerns an environment where each player's utility depends on the actions that other players take. Business Competition is one of the most common use of Game Theory since all the firms are constantly reacting to their competitors prices, strategies and rates of expansion.

Let's take a good example of Lenskart which is operating in a highly competitive industry where Strategic decisions are inter-dependent.

Example:
•If Lenskart cuts prices, competitors have to decide whether to match them.
•Lenskart opening stores in new cities forces competitors to choose whether they want to enter the same cities.
•If Lenskart invests in AI and digital services, competitors will need to decide whether to follow suit.
•Lenskart's introduction of customer loyalty programs might cause competitors to provide their own membership benefits.

Each of these situations shows exactly what Game Theory is designed to analyse.

A payoff is the benefit that a player gets after choosing a specific strategy. In business, payoffs are measured through profit, market share, customer growth, or competitive advantage.

For Lenskart, different strategies lead to different payoffs.

Possible Payoffs

Strategy	Positive Payoff	Possible Risk
Discounts	More customers	Lower profit margin
AI Investment	Better customer experience	High investment cost
Store Expansion	Higher market share	High operating costs
Gold Membership	Repeat purchases	Membership management costs
Premium Products	Higher profit	Smaller customer base

One of the examples of Game Theory in Lenskart's business is its pricing strategy. In the eyewear industry every company wants to earn profits by selling products at reasonable prices. If all companies keep their prices stable, they can maintain profit margins. But competition changes this situation.

Lenskart regularly launches offers such as Buy One Get One Free (BOGO) Free Eye Tests and discounts during festivals and online sales. These offers encourage customers to purchase from Lenskart of its competitors. Once Lenskart introduces these promotions, other eyewear brands such as Titan Eyeplus, Vision Express and local optical stores face a decision. If they do not respond they may lose customers and market share. If they also start offering discounts they can protect their customers. Will earn lower profits.

This creates the Prisoners Dilemma, where every company makes a decision to protect itself but all companies end up reducing their profit margins.

Lenskart's rapid growth shows why competitors feel pressure to respond. In FY2026 the company reported ₹9,002 crore in revenue a 32.3% increase over the previous year. It also expanded its network to than 3,300 stores worldwide adding 603 new stores in just one year. These numbers demonstrate how aggressive pricing, expansion and promotions have helped Lenskart increase its market presence making it difficult for competitors to ignore its strategies.

A Nash Equilibrium is a situation where every company chooses the strategy based on what its competitors are doing. Once all companies reach this point no company gains an advantage by changing its strategy alone.

Lenskart was one of the eyewear companies in India to build a strong omnichannel business model. Of selling only through physical stores, it combined online shopping, mobile applications, AI-powered Virtual Try-On, home eye testing in selected cities and physical retail stores. Customers could browse frames online compare prices try frames virtually and then visit a store to complete their purchase. .

When competitors saw that customers preferred this shopping experience they started following the same approach. Titan Eyeplus and Vision Express, invested on online platforms despite having their offline stores. Today all the largest eyewear retailers are present both online and offline, as consumers want the best of both worlds. By the end of FY2026 Lenskart had 3,327 outlets operating globally, following 603 store openings during the year. This large retail network, combined with its platform makes it difficult for competitors to rely only on offline stores. .

A Sequential Game happens when one company makes the move and competitors react afterward. Lenskart follows this strategy by opening stores in cities before many of its competitors. First to market is advantageous as it allows the company to establish customer confidence, enhance branding and develop a loyal customer base. In FY2026, Lenskart opened 603 stores, opening in 157 new cities in India. This expanded the company to a total of 556 cities in India. By opening in these markets, Lenskart secures vital retail locations and establishes a customer base before any competition can react. Competitors must then decide whether it is worth investing in the market. If they enter, they face an established competitor. If they do not enter Lenskart continues growing without competition. In a Signalling Game companies use actions to communicate their strength, quality or future plans. Lenskart has been making significant investments in innovative technologies such as AI-enabled recommendations Virtual Try-On, 3-D eye examination, robot-enabled optical manufacturing, remote eye care technology etc. that enhance the consumer shopping experience. They also send a very positive message to the consumers. When the consumers see this technology, they think that the company will give better products along with a better service. Competitors saw these investments as also an evidence of the company's innovation commitment. In FY2026, the company completed 23.8 million eye tests, up 48.5% over the year. The company tested 6.8 million eye tests in Q4 FY2026; nearly half of them being first time eye tests. These numbers show that customers trust Lenskart's services and technology.

Lenskart understands that customers usually buy glasses more than once during their lifetime. People need eye check-ups, new prescriptions, replacement lenses or new frames. Of focusing only on one sale the company builds long-term relationships. To encourage repeat purchases Lenskart offers Gold Membership reminders for eye tests after-sales service and personalized offers.

By the end of FY2026 Lenskart had 8.8 million active Gold members and revenue from Gold subscriptions increased by 84.7% compared with the year. This shows that many customers continue purchasing from Lenskart of switching to competitors.

Entry Deterrence means creating conditions that discourage companies from entering the market.

Lenskart has built a competitive position through its retail stores, technology, manufacturing, marketing and brand reputation. A new company entering the eyewear industry would need to invest in these areas before it could compete effectively.

With 3,327 stores advanced manufacturing facilities and millions of loyal customers Lenskart has created high barriers for new competitors. New companies must spend amounts on store expansion, advertising, technology and customer trust before they can compete successfully.

Of competing only by lowering prices Lenskart focuses on creating additional value for customers.

The company offers eye tests Virtual Try-On, home eye testing in selected areas fashionable frame collections, fast delivery and affordable premium products. These services make the overall customer experience better than buying glasses from a traditional optical shop.

Lenskart's product volume grew by 24.7% during FY2026 while its revenue increased by 32.3%. This suggests that customers are purchasing products and are also willing to spend on premium options because they value the overall experience.

How Lenskart Differentiates Itself

Traditional Optical Store	Lenskart
Limited frame choices	Thousands of frame designs
Manual trial	AI Virtual Try-On
Availability	Online + Offline shopping
Basic eye testing	Digital eye testing and advanced services

By offering technology, convenience and customer service Lenskart competes on value rather than only, on price. This reduces price competition and helps the company build stronger customer loyalty.